

ENTREPRENEURSHIP & BUSINESS DESIGN

B.Tech. CSE. III Year. I Semester D - section (9ZC10) Unit – VI

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November 2025

Syllabus (Unit -6)

UNIT-VI. Entrepreneurial Funding and Risk Management: Bootstrapping, Angel Investors, Venture capitalists, Private equity funding, customer acquisition, return on equity and Break even analysis, Risk propensity Vs. Risk avoidance, Locus of control of entrepreneur, Risk estimation techniques, risk avoidance strategies.

Essential Readings:

- (1). Adrian McEwen, Hakim Cassimally — “Designing the Internet of Things”, Wiley Publications, 2012.**
- (2). Hedniaii, J., & Kalling, T. (2003). The business model concept: theoretical underpinnings and empirical illustrations. *European journal of information systems*, 12(1), 49-59.**
- (3). Cabrera, j. (2017). *Modular Design Frameworks: A Projects-based Guide for UI/UX Designers*. A press.**

Reference Books:

- 1. J. Chris Leach & Ronald W. Melicher “Entrepreneurial Finance, Fourth Edition”, South Western, Cengage Learning, 2012.**
- 2. Robert D. Hisrich & Veland Ramadani — “Effective Entrepreneurial Management, Strategy, Planning, Risk Management, and Organization”, Springer, 2017.**
- 3, Mmhluni, A. R. (2017). *Extruding the TILES Toolkit- from fication to Pi'ololying* (Master's thesis, NTNU).**
- 4. Norman. D. (2013). *They design obeye yJnJ' things. Rrvised mJ expanded edition.***

1. Bootstrapping

Unit – VI: Entrepreneurial Funding and Risk Management

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1. BOOTSTRAPPING

Bootstrapping is a self-financing company with minimal external capital.

Bootstrapping is funding and running a company using only personal finances or operating revenue.

This form of financing allows the entrepreneur to maintain more control, but it can increase financial strain

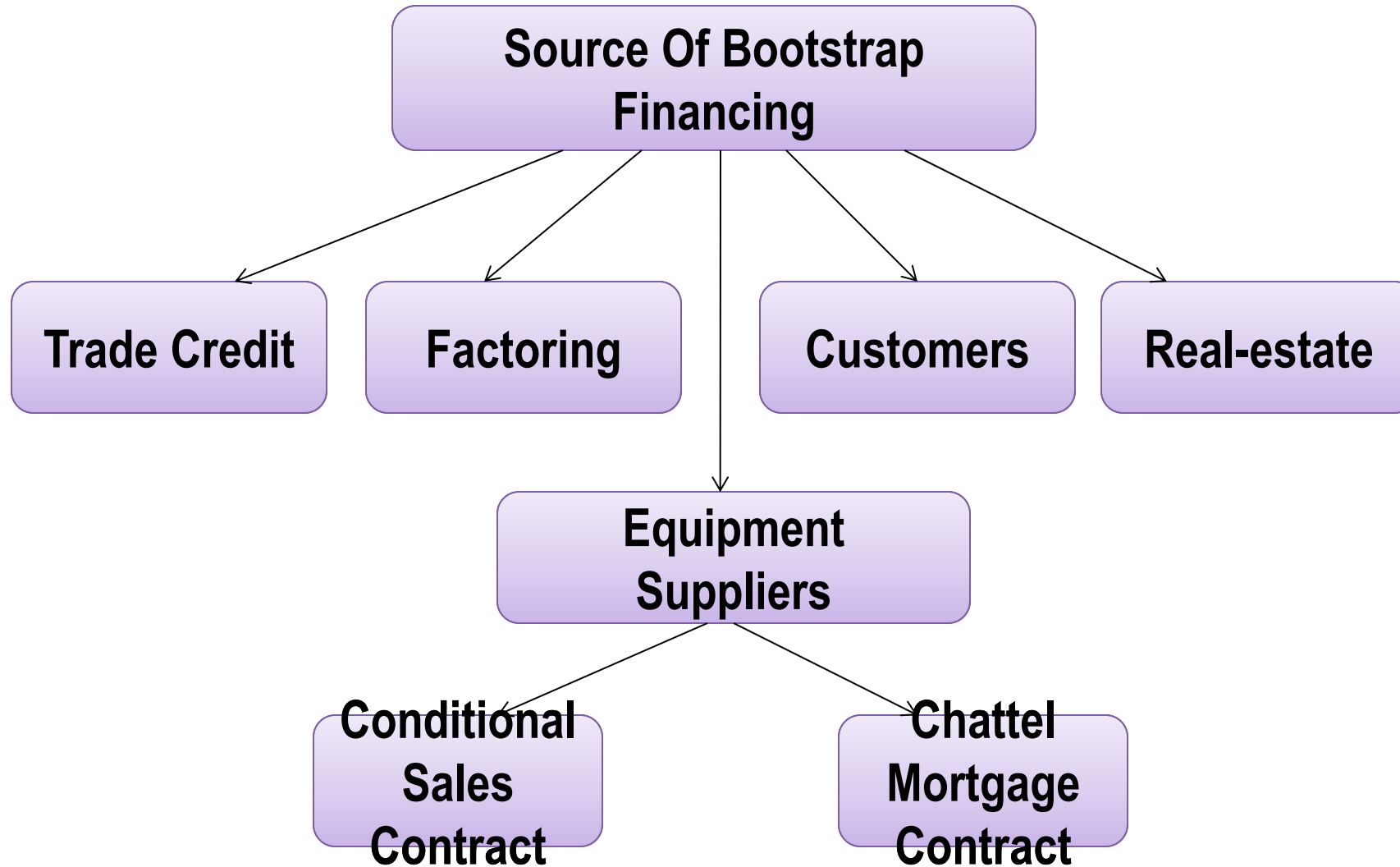
BOOTSTRAPPING – Three Funding Stages

Beginning Stage: This stage starts with some personal savings, or borrowed money from friends and family.

Customer-Funded Stage: Money from customers is used to keep the business operating and, eventually, funds growth.

Credit Stage: The entrepreneur focuses on the funding of specific activities, such as improving equipment, hiring staff, etc. At this stage, the company takes out loans or may even find venture capital, for expansion.

SOURCES OF BOOTSTRAPPING FINANCE



1. Trade-Credit

Normally, a supplier will extend you credit after you're a regular customer for 30, 60 or 90 days, without charging interest.

Example, suppose that a supplier ships something to you, and that bill is due in 30 days but you have trade credit or terms.

Your terms might be net 60 days from the receipt of goods, in which case you would have 30 extra days to pay for the items.

A Chattel mortgage is a type of loan a lender may offer you to buy a vehicle.

While the vehicle is owned by the business man, the lender uses the vehicle as security against the loan.

This gives the lender peace of mind that the business man will pay back the loan.

It's much like a fixed rate traditional home loan or mortgage.

2. Factoring

This is a financing method where you actually sell your accounts receivable to a buyer such as a commercial finance company to raise capital. A "factor" buys accounts receivable, usually at a discount rate that ranges between one and 15 percent.

Factoring can be performed on a non-notification basis. That means your customers aren't aware that their accounts have been sold.

The factor then becomes the creditor and assumes the task of collecting the receivables as well as doing what would've been your paperwork chores.

3. Customers

Customers are another source of bootstrap financing, and there are several different ways to take advantage of these valuable assets.

One way to use your customers to obtain financing is by having them write you a letter of credit.

Example, suppose you're starting a business manufacturing industrial bags. A large corporation has placed an order with your firm for a steady flow of cloth bags.

What are the steps of a LETTER OF CREDIT (LC) ?

- **First, the buyer applies to their bank for a letter of credit.**
- **After the bank issues it, the seller's bank reviews the terms.**
- **The seller ships the goods and submits shipping and other required documents to their bank.**
- **The documents are checked, and payment is made -if everything is correct.**

The major supplier from which you will obtain the material the bags is located in India.

In this scenario, you obtain a letter of credit from your customer when the order is placed, and the material for the bags is purchased using the letter of credit as security.

4.Realestate

Another bootstrap financing source is real estate.

The first is simply to lease your facility.

This reduces startup costs because it costs less to lease a facility than it does to buy one.

Also, when negotiating a lease, you may be able to arrange payments that correspond to seasonal peaks or growth patterns.

5. Equipment Suppliers

Instead of paying out cash for your equipment, you can purchase it with a loan from Suppliers / Manufacturers;

In this way, equipment suppliers are a source of bootstrap financing.

Two types of credit contracts are commonly used to finance equipment purchases:

1. *The conditional sales contract*, in which the purchaser does not receive title to the equipment until it is fully paid for.

2. *The chattel-mortgage contract*, in which the equipment becomes the property of the purchaser on delivery, but the Supplier / Seller holds a mortgage claim against it until the amount specified in the contract is paid.

2. Angel Investors

2. Angel Investors

DEFINITION: “Angel investors are wealthy private investors focused on financing small business ventures in exchange for equity. Unlike a venture capital firm that uses an investment fund, angels use their own net worth”

DEFINITION: “Angel investors are wealthy individuals who provide capital to help entrepreneurs and small businesses succeed. They are known as "angels" because they often invest in risky, unproven business ventures for which other sources of funds—such as bank loans and formal venture capital—are not available”

Angel Investment - Characteristics

- **An angel investor is na high-net-worth individual who funds startups at the early stages, often with their own money.**
- **Angel investing is often the primary source of funding for many startups who find it more appealing than other, more predatory, forms of funding.**
- **The support that angel investors provide startups fosters innovation which translates into economic growth.**
- **These types of investments are risky.**

Angel Investors – Five Types

The Family Investor: The Family Investor is not really a classic Angel Investor but a supportive family member knowing the entrepreneur.

Their motivation comes from the interest in supporting a family member or friend.

The Relationship Investor: The Relationship Investor is a co-worker from a previous company or a business friend known for a while.

They want to be supportive on the one hand, but are also looking for a return.

Angel Investors – Five Types (..cont..)

The Idea Investor: Investment is based on the idea and there is little emotional aspect.

Often an influential Idea Investor makes a good early board member for the company.

The Once Removed Investor: Investor likely connected through a personal or professional relationship with either the Relationship Investor or the Idea Investor.

Angel Investors – Five Types (..cont.,)

The "Archangel" Investor: An "Archangel" is a Relationship Investor or Idea Investor that has a track record of success making other Angels (and perhaps non Angels) money.

Archangels have built a successful company in the same space, or have strong personal contacts with other Angel Investors.

3. Venture Capitalists

3. Venture Capitalists

They provide capital to young businesses in exchange for an ownership share of the business.

The (Securities & Exchange Board of India) SEBI defined Venture capital fund in its regulation 1996 as a fund established in the form of a company or trust which raises money through loans, donations, issues of securities of units as the case maybe and makes or proposes to make investments in accordance with regulations.

A venture capitalist is a person or investment firm that makes venture investments and these venture capitalists are expected as well as capital to their investments.

3. Venture Capitalists (..Cont..)

Characteristics of VCs

- ❖ Well managerial skills
- ❖ Well knowledgeable
- ❖ Sophisticated investors-Comes forward to take risks
- ❖ Decision making ability
- ❖ Analyzing skills

Services generally provide by Venture Capitalists

- 1. Finance to new and rapidly growing firms**
- 2. Finance to typically knowledge based sustainable up scalable companies**
- 3. Purchase equity and quasi equity securities**
- 4. Assist in the development of new products or services**
- 5. Add value to the company through active participation**

The most active Venture Capital Funds in India



Venture Capitalists and Angel Investors

S.N	Venture Capitalists	Angel Investors
1.	A company or business rather than an individual	An individual investor
2.	Seldom interested in early-stage, unless compelling reasons (eg. high tech with already successful founders)	May be willing to invest in early-stage or start-up businesses, as well as established companies
3.	Investment amounts: More than £1 Million	Investment amounts: £10k - £100k, sometimes a bit more, groups could go up to £1m

Venture Capitalists and Angel Investors

S.N	Venture Capitalists	Angel Investors
4.	Invest in more mature and larger corporations and usually prefer to invest in companies that have established themselves and are looking for further investments to grow.	Angel investors usually invest in smaller startups with promising future outcomes.
5.	Require seat on board	May be willing to be "hands-off" or "hands-on" adding important skills

4. Private Equity Funding

4. Private Equity Funding

Similar to a mutual fund or hedge fund, a private equity fund is a **pooled investment vehicle where the adviser pools together the money invested in the fund by all the investors and uses that money to make investments on behalf of the fund.**

Types of Private Equity Funding

There are three key types of private equity strategies:

- **venture capital**
- **growth equity**
- **buyouts.**

Venture capital (VC) is a form of private equity and a type of financing that investors provide to startup companies and small businesses that are believed to have long-term growth potential.

Types of Private Equity Funding

GROWTH EQUITY:

Growth capital is a type of private equity investment, usually a minority investment, in relatively mature companies that are looking for capital to expand or restructure operations, enter new markets or finance a significant acquisition without a change of control of the business.

BUY OUTS:

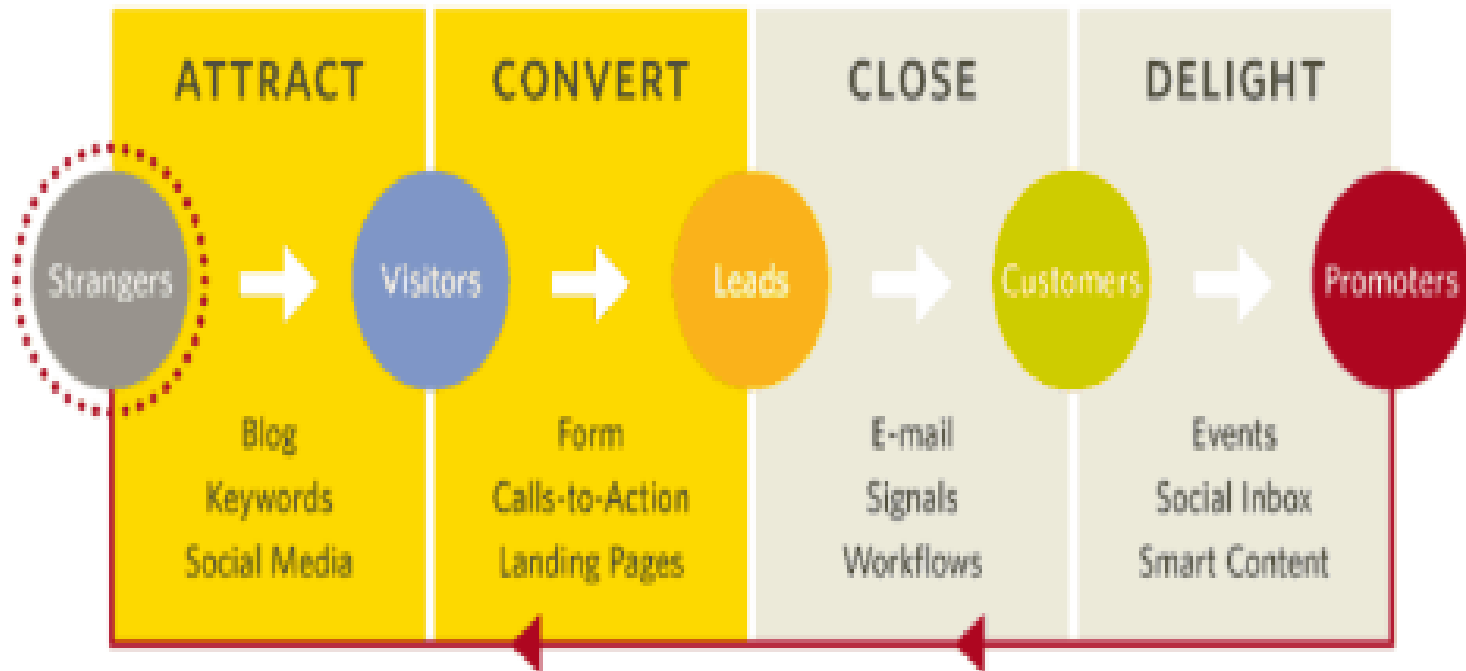
Buyout funds look to purchase controlling stakes in companies with the intention to improve the business and exit at a higher multiple. Target companies are usually mature businesses with established cash flows and hard assets.

5. Customer Acquisition

5. CUSTOMER ACQUISITION

- Customer acquisition is **the process of getting**
- **potential customers to buy your products.** A strong
- customer acquisition strategy: 1) attracts leads, 2)
- nurtures them until they become sales-ready, and 3)
- converts them into customers.
- The overall cost of these steps is referred to as your
- customer acquisition cost (CAC).

CUSTOMER ACQUISITION PROCESS



6. Return on Equity and Break-even Analysis

6. RETURN ON EQUITY AND BREAK EVEN ANALYSIS

Return on equity signifies how good the company is in generating returns on the investment it received from its shareholders

Return on equity (ROE) is **the measure of a company's net income divided by its shareholders' equity**. ROE is a gauge of a corporation's profitability and how efficiently it generates those profits. The higher the ROE, the better a company is at converting its equity financing into profits.

$$\text{ROE} = \frac{\text{Net Income}}{\text{Shareholder's Equity}}$$

BREAK EVEN ANALYSIS:

A breakeven analysis is a **calculation that tells small business owners what quantity of product must be sold to be profitable**. It helps entrepreneurs come up with a pricing strategy that will not only cover costs but will generate a gross profit.

- In economics and business, **the break-even point (BEP)** is the point at which cost or expenses and revenues or gains are equal. **There is no net loss or gain**, and one has "broken even".

- **Condition :**

$$\text{Total Cost (Fixed Cost + Variable Cost) } == \text{Total Revenue}$$

- On the basis of the above condition, an expression for the BEP can be obtained as described below:

- $$BEP = \frac{\text{Total Fixed Costs}}{\text{Sale Price Per Unit} - \text{Variable Cost Per Unit}}$$



- The quantity in the denominator, i.e. *Sale Price Per Unit – Variable Cost Per Unit* may be referred to as the **Unit Contribution Margin**.
- The BEP may be calculated as shown in the formula above.

7. Risk Propensity Vs Risk Avoidance

7. Risk Propensity Vs Risk avoidance

- **Risk propensity**, also conceptualized as an individual's risk-taking tendency, is. defined as **an individual's current tendency to take or avoid risks and considered as an. individual trait which can change over time as a result of experience**
- (Risk-taking propensity, which is an element of the personality of entrepreneurs, is considered to be critical for the decision to enter the entrepreneurship career.)
- **Risk avoidance** is the elimination of hazards, activities and exposures that can negatively affect an organization and its assets.
- (An example of risk avoidance might be a manufacturing business not using certain hazardous materials or chemicals due to the dangers of handling and storing them;)

8. Locus Control of Entrepreneur

8. Locus of Control of Entrepreneur

- Locus of Control refers to **an individual's perception**
- **about the underlying main causes of events in**
- **his/her life.** Or, more simply: Do you believe that
- your destiny is controlled by yourself or by external
- forces (such as fate, god, or powerful others)?

Entrepreneurial Propensity Model

Personal Values / Personality Traits

Gender

Leadership

**Risk
Taking**

**Self-
Confidence**

Locus of Control

Internal

External

Entrepreneurial Propensity

Locus of Control

1. **Internal locus of control** is defined as the personal belief that one has influence over outcomes through ability, effort, or skills, whereas external locus of control is the belief that external forces control outcomes
2. **External locus of control** can be explained by people's beliefs about powerful others that influence their lives, as well as the influence of blind fate, luck or chance.

9. Risk Estimation Techniques

9. RISK ESTIMATION TECHNIQUES

Risk estimation (also referred to as risk characterization) is **the final step in risk assessment**.

Its goal is to produce measures of the health, safety, and environmental risks that are being assessed.

1. Risk Register

The fundamental risk management tool is the [risk register](#). Basically, what a risk register does is identify and describe the risk. It then will provide space to explain the potential impact on the project and what the planned response is for dealing with the risk if it occurs.

2. Root Cause Analysis

The root cause is another way to say the essence of something. Therefore, root cause analysis is a systematic process used to identify the fundamental risks that are embedded in the project. This is a tool that says good management is not only responsive but preventative.

3. SWOT

SWOT, or strengths, weaknesses, opportunities, threats, is another tool to help with identifying risks.

4. Probability and Impact Matrix

Another tool for project managers is the probability and impact matrix. It helps prioritize risk, which is important, as you don't want to waste time chasing a small risk and exhaust your resources. This technique combines the probability and impact scores of individual risks and then ranks them in terms of their severity

5. Risk Data Quality Assessment

With a risk data quality assessment technique, project managers use data that has been collated for the risks they've identified. This is used to then find the level to which information about the risk is relevant to the project manager. It helps the project manager understand the accuracy, reliability, quality and integrity of the risk as related to the collected data about it.

7. Brainstorming

To begin the brainstorming process, you must assess the risks that could impact your project. This starts with reviewing the project documentation, looking over historic data and lessons learned from similar projects, and reading over articles and organizational process assets. Anything that can provide insight into issues that might occur during the execution of the project. Once you've done your research, start brainstorming with anyone who might have insight.

Some of the techniques of quantitatively determining probability and impact of a risk include:

- Interviewing
- Cost and time estimating
- Delphi technique
- Historical Records
- Expert judgment
- Expected monetary value analysis
- Monte Carlo Analysis
- Decision tree

10. Risk Avoidance Strategies

10. RISK AVOIDANCE STRATEGIES

Risk avoidance means **completely eliminating any hazard that might harm the organization, its assets, or its stakeholders; and removing the chance that the risk might become a reality**. This strategy aims to deflect as many threats as possible to avoid their costly consequences

There are four main risk management strategies, or [risk treatment](#) options:

- Risk acceptance
- Risk transference
- Risk avoidance
- Risk reduction

Choosing the right one will mean the difference between managing each [potential risk](#) effectively or facing serious consequences that could damage your business.

Risk avoidance: gives companies the option to refrain from any activities that are likely to generate risks. Alternatively, you may think of another way to reach the same outcome that doesn't involve the same risks. This could involve changing your processes, equipment, or materials.

Risk Reduction: Business can reduce risks like theft, injuries, or hacking in many ways.

- Through quality control processes
- Auditing
- Compliance with legislation

- [Staff safety training](#)

- Regular maintenance or change in procedures—including running consistent security tests on computer software
- Installing securing systems

Risk transfer: is defined as getting another party to accept the risk, like an insurer. The insurer takes responsibility for the risk and for restitution should losses occur. Risks can also be transferred through contracts, which often happens in construction where the builder assumes any risks associated with faulty jobs.

Other forms of transferring risks include:

- Hedging strategies
- Futures contracts
- Derivatives

Risk Acceptance: is a preferred approach to small risks where the cost of insurance would be greater over time than the total losses sustained.

Risks that are not avoided or transferred are retained by default, including risks that are so catastrophic that they cannot be insured against or the premiums are prohibitive.

The End of Unit - 6